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Case Number: 26CHCV00142 Hearing Date: July 20, 2026 Dept: F49

Dept. F49

Date: 7/20/26

Case Name: Babken Egoian; and Michael Egoian vs. Tesla, Inc.; and Does 1-50

Case No. 26CHCV00142

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F49

JULY 20, 2026

MOTION TO COMPEL BINDING ARBITRATION

Los Angeles Superior Court Case No. 26CHCV00142

Motion filed: 2/18/26

MOVING PARTY: Defendant Tesla, Inc.

RESPONDING PARTY: Plaintiffs Babken Egoian and

Michael Egoian

NOTICE: OK

RELIEF REQUESTED: An order from this Court: (1) compelling Plaintiffs to submit to arbitration, and (2) staying this action pending the outcome of arbitration.

TENTATIVE RULING: The Motion is GRANTED.

BACKGROUND

This action arises from alleged defects in a new 2022 Tesla Model Y Performance (the "Subject Vehicle") purchased by Plaintiffs Babken Egoian ("Babken") and Michael Egoian (collectively, "Plaintiffs") and the failure of Defendant Tesla, Inc. ("Defendant") to conform the Subject Vehicle to warranty. On January 13, 2026, Plaintiffs filed the Complaint against Defendant and Does 1 through 50, alleging the following violations of the Song-Beverly Consumer Warranty Act: (1) breach of express warranty, (2) breach of implied warranty, and (3) violation of Song-Beverly Act section 1793.2, subdivision (b).

On February 18, 2026, Defendant filed the instant Motion to Compel Binding Arbitration (the "Motion"). On July 7, 2026, Plaintiffs filed an Opposition. On July 13, 2026, Defendant filed a Reply.

ANALYSIS

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists." (Code Civ. Proc., § 1281.2.) The court must order arbitration unless it determines that the moving party has waived the right to compel arbitration or "[g]rounds exist for the rescission of the agreement." (Ibid.)

If a court orders arbitration of a controversy, the court must, on motion of a party, "stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or under such earlier time as the court specifies." (Code Civ. Proc. § 1281.4.)

A. Request for Judicial Notice

A may take judicial notice of "[r]ecords of … any court of this state." (Evid. Code, § 452, subd. (d).) A court must take judicial notice of court records if a party requests it, provides sufficient notice to each adverse party, and furnishes the court with sufficient information to enable it to take judicial notice. (Id., § 453.) Upon taking notice of court records, the court accepts as true only that (1) they were filed, and (2) the assertions therein were made; the court does not take notice of the truth of their contents. (See Joslin v. H.A.S. Insurance Brokerage (1986) 184 Cal.App.3d 369, 374-375; see also Day v. Sharp (1975) 50 Cal.App.3d 904, 916.)

Defendant requests that the Court take judicial notice of Plaintiff's Complaint in this action. Plaintiff's Complaint is undeniably a record of a court of this state and relevant to the action. The Court accordingly GRANTS the request for judicial notice of the Complaint insofar as it was filed and allegations were made therein.

B. Plaintiff's Objections to Evidence

Plaintiffs object to the declaration of Business Resolution Manager Raymond Kim ("Kim"), submitted by Defendant in support of the Motion.

The following objections are OVERRULED: Nos. 1-3, 7-8.

The following objections are SUSTAINED: Nos. 4-6 (foundation/personal knowledge).

C. Motion to Compel Arbitration

Defendant moves to compel

Plaintiffs' claims into arbitration and to stay the action pending the outcome of arbitration based on two agreements: (1) the Motor Vehicle Order Agreement (the "Order Agreement") presented to Plaintiffs at the time they ordered the Subject Vehicle, and (2) the Retail Installment Sale Contract (the "RISC") generated at the time of delivery. (Mot., at p. 3.) The Court addresses each agreement separately and concludes that the arbitration provision contained within the Order Agreement is enforceable against Plaintiffs.

(1)
Applicable Law

The Federal Arbitration Act ("FAA") applies to written provisions to arbitrate disputes arising from a contract involving interstate commerce. (Rodriguez v. American Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1117; see 9 U.S.C. § 2.) Parties may also expressly agree that the FAA govern their agreement to arbitrate their disputes. (See id., at pp. 1121-1122.)

The Order Agreement provides that all terms of the agreement, with specified exceptions for residents of New York, Massachusetts, Michigan, and Washington, D.C., are governed by the law of the state nearest to the purchaser's address as indicated on the Vehicle Configuration. (Kim Decl., Exh. 1, at p. 3.) Here, Plaintiffs allege that the Subject Vehicle was purchased in Fremont, California (Compl., ¶ 9), and the parties do not dispute that the Order Agreement is governed by California law.

The RISC provides that any arbitration under the provision shall be governed by the FAA. (Kim Decl., Exh. 2, at p. 7.) Insofar as the agreements are valid, therefore, California state law governs the Order Agreement, and the FAA governs the RISC.

While the RISC is governed by the FAA, the FAA's savings clause (9 U.S.C. § 2) preserves the general application of state-law contract principles—such as mutual assent and defenses including unconscionability—so long as they do not conflict with federal arbitration policy. (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 68 ["Like other contracts, [arbitration agreements] … may be invalidated by 'generally applicable contract defenses, such as fraud, duress, or unconscionability.'"].)

As a threshold matter, therefore, the Court proceeds to consider whether an enforceable arbitration agreement exists between the parties and, if so, whether any contract defenses bar enforcement.

(2)
Existence and Enforceability of the Order Agreement

(a)
Existence of Agreement

The party moving to compel arbitration has the burden of proving the existence of the agreement by a preponderance of the evidence. (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.) The moving party generally meets its burden by presenting a copy of the contract to the court. (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.) Under California Rules of Court, Rule 3.1330, a copy of the agreement must be attached and incorporated by reference or the terms of the agreement stated verbatim.

Here, Defendant attaches the Order Agreement to the declaration of Kim ("Kim"). (Kim Decl., Exh. 1.) Kim attests that the Order Agreement was generated when Plaintiffs clicked a button reading "Place Order" on Defendant's website, and that the button was immediately followed by bold-faced text advising Plaintiffs that clicking on it constituted agreement to the terms of the Order Agreement. (Id., ¶ 4.) The Order Agreement was displayed as a bold-faced hyperlink to the full text of the agreement. (Ibid.)

The arbitration provision in the Order Agreement provides, in relevant part:

Agreement to Arbitrate. Please carefully read this provision, which applies to any dispute between you and Tesla, Inc. and its affiliates, (together, "Tesla").

If you have a concern or dispute, please send a written notice describing it and your desired resolution to .

If not resolved within 60 days, you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules. This includes claims arising before this Agreement, such as claims related to statements about our products.

…

You may opt out of arbitration within 30 days after signing this Agreement by sending a letter to: Tesla, Inc.; P.O. Box 15430; Fremont, CA 94539-7970, stating your name, Vehicle Identification Number, and intent to opt out of the arbitration provision. If you do not opt out, this agreement to arbitrate overrides any different arbitration agreement between us, including any arbitration agreement in a lease or finance contract.

(Kim Decl., Exh. 1, at p. 3.) Kim attests that Defendant maintains opt-out requests in the ordinary course of business, but its records do not include any opt-out from Plaintiffs. (Id., ¶ 7.)

Based on the foregoing, the Court finds that Defendant has met its initial burden of establishing the existence of an agreement to arbitrate based on the Order Agreement.

(b)
Mutual Assent

The parties agree that the Order Agreement is presented in “clickwrap” form. A clickwrap agreement is a form of online agreement requiring a user to manifest assent to terms by clicking a button. (Herzog v. Superior Court (2024) 101 Cal.App.5th 1280, 1296.) A clickwrap must put a reasonably prudent person on notice that, by clicking, they will be subject to certain terms and conditions. (Id., at p. 1297.) Courts have found, for example, that a consumer lacked reasonable notice where: (1) the notice was printed in extremely small type in an area where the consumer’s attention would not be focused, and (2) the terms, inconspicuously presented, purported to govern a dispute between the consumer and a third-party with whom the consumer had no relationship. (Sellers v. JustAnswer LLC (2021) 73 Cal.App.5th 444, 480-481; Doe v. Massage Envy Franchising, LLC (2022) 87 Cal.App.5th 23, 32-34.)

Plaintiffs contend that the arbitration provision in the Order Agreement is invalid because there is insufficient manifestation of assent. (Opp'n, at p. 3.) Plaintiffs do not dispute placing the order for the Subject Vehicle, but aver that when they placed the order, they did not see any information about terms and conditions or arbitration. (Ibid.) Plaintiffs further argue that Defendant presents no evidence that Plaintiffs agreed to the Order Agreement, such as a signature or existence of an electronic record. (Ibid.)

In support, Babken attests that he did not see any hyperlink to terms and conditions and did not sign or initial anything when he ordered the Subject Vehicle. (Egoian Decl., ¶¶ 2-3.) He also states that no one informed him when placing the order that he would be subject to an arbitration provision or that he had the ability to opt out of it. (Id., ¶ 4.)

In Reply, Kim attests that the order process is structured so that Plaintiffs would not have been able to order the Subject Vehicle without clicking the “Place Order” button on the order website. (Kim Reply Decl, ¶ 4.) He submits a copy of the webpage as it would have appeared to Plaintiffs when they completed the order. (Kim Reply Decl., Exh. 3.) The webpage displays a vehicle build and includes a form for purchasers to input their billing and delivery zip codes. (Ibid.) This form is followed by the current amount due, language indicating that by placing the order, the purchaser agrees to the Order Agreement, terms of use, and privacy notice, a hyperlink to additional information, and lastly, the button to place the order. (Ibid.) The Order Agreement, terms of use, and privacy notice all appear as underlined hyperlinks, with the Order Agreement in bold typeface. (Ibid.)

The Court finds sufficient indicia of Plaintiffs' assent to the terms of the Order Agreement and its arbitration provision. The proximately of the language indicating that order submission constituted agreement to terms, the bold typeface hyperlinking the full text of the Order Agreement, and the uncluttered page layout render the hyperlinked terms conspicuous enough that Plaintiffs, if they were acting in a reasonably prudent manner, could not have failed to see them when they clicked the button to place the order.

Further, the arbitration provision within the Order Agreement is likewise conspicuous. If Plaintiffs had clicked on the hyperlink, Plaintiffs would have been presented with a four-page agreement, with the terms and conditions beginning on the second page. The arbitration provision stands out as the only general provision set off in its own text box, drawing attention to its importance. (Kim Decl., Exh. 2.)

Based on the foregoing, the Court finds that the Order Agreement constitutes a valid agreement between the parties.

(c)
Conscionability

Plaintiffs further argue that the Order Agreement is both procedurally and substantively unconscionable. (Opp'n, at pp. 10-11.)

Unconscionability has both a procedural and a substantive element. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.) Both must be present for a court to exercise its discretion to refuse to enforce an arbitration clause. (Ibid.) They operate on a sliding scale such that "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Ibid.)

Contracts of adhesion are generally considered procedurally unconscionable. (Armendariz, supra, at p. 113.) An adhesive contract is a standardized contract imposed and drafted by the party with superior bargaining power, offering the other party the opportunity only to adhere to the contract or reject it. (Ibid.) Courts have found that a claim of procedural "oppression" may be defeated where "the complaining party had reasonably available alternative sources of supply from which to obtain the desired goods or services free of the terms claimed to be unconscionable." (Dean Witter Reynolds, Inc. v. Super. Ct. (1989) 211 Cal.App.3d 758, 768.)

Plaintiffs argue that the Order Agreement was presented on a “take it or leave it” basis that deprived Plaintiffs of the ability to negotiate the non-financial terms. (Opp’n, at p. 11.)

Defendant contends that Plaintiffs’ ability to opt-out entirely of the arbitration provision undermines their claim of procedural unconscionability. (Reply, at p. 8.) Defendant further contends that Plaintiffs did not lack bargaining power because they had many other vehicle brands from which to choose, giving them meaningful choices to do business elsewhere. (Id., at p. 7.)

The Court does not find the arbitration provision in the Order Agreement to be procedurally unconscionable. As discussed above, Plaintiffs were on reasonable notice of the existence of the provision when they placed their order for the Subject Vehicle, and although the precise terms may not have been presented in a manner inviting negotiation, they retained the ability to opt out if they found the provision to be disagreeable.

A contract is substantively unconscionable if it includes contract terms that are significantly one-sided or impose harsh or oppressive terms. (Parada v. Superior Court (2009) 176 Cal.App.4th 1554, 1573.) “Substantive unconscionability may be shown if the disputed contract provision falls outside the nondrafting party’s reasonable expectations. [Citation.]” (Ibid.)

Plaintiffs contend that the arbitration provision within the Order Agreement is substantively unconscionable because it is one-sided, imposing the obligation to arbitrate on Plaintiffs alone. (Opp’n, at p. 11.) Plaintiffs add that the scope of the arbitration provision is enlarged to cover items not reasonably within the contemplation of the parties at the time of contracting, including breach of warranty claims. (Ibid.)

In Reply, Defendant notes that there is no language in the arbitration provision restricting who may enforce its terms, instead covering any dispute between the parties and not just those disputes brought by the consumer. (Reply, at p. 9.)

The Court agrees with Defendant that the terms of the arbitration provision do not, on their face, restrict enforcement only to Defendant. However, the language of the provision does contemplate that it is primarily the consumer against whom the provision will be enforced, describing the dispute process as beginning with the consumer sending a notice to Defendant if a concern arises. (Kim Decl., Exh. 1, at p. 3.) Nevertheless, even if the reality of enforcement may be one-sided, case law confirms that not all one-sided contract provisions are unconscionable. (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 911.) Instead, the context of the transaction must be evaluated to determine whether terms are overly harsh or unduly oppressive to the non-drafting party. (Ibid.)

Here, regardless of who initiates the arbitration process, it is the responsibility of Defendant to pay all costs of arbitration. (Kin Decl., Exh. 1, at p. 3.) Moreover, the arbitration provision provides for a neutral arbitration forum (the American Arbitration Association), provides that the arbitration will take place in the consumer's city or county of residence, and allows the consumer to bring individual claims in small claims court. (Ibid.) Plaintiffs present no evidence that enforcement of the terms of the arbitration provision would work any hardship or oppression or limit any remedies ordinarily available to Plaintiffs.

As to the scope of the provision, as discussed below, the Court does not find that it exceeds that reasonably contemplated by the parties. The Court thus does not find the arbitration provision contained within the Order Agreement to be substantively unconscionable, and determines that it is a valid and enforceable contract.

(d)

Scope of Agreement

Plaintiffs lastly argue that the instant action is not within the scope of the arbitration provision contained within the Order Agreement, which is limited to the ordering of the Subject Vehicle and not to warranty claims. (Opp'n, at pp. 5-6.)

The Court finds that the plain language of the arbitration provision encompasses the instant dispute. By its terms, the arbitration provision "applies to any dispute between you and Tesla, Inc. and its affiliates." (Kim Decl., Exh. 1, at p. 3.) It further states that if the dispute is not resolved within 60 days, Plaintiffs agree that "any dispute arising out of or relating to the relationship between you and Tesla" will be decided by a single arbitrator. (Ibid.) The provision also clarifies that it applies to "claims arising before this Agreement, such as claims related to statements about our products." (Ibid.) The foregoing language clearly includes warranty claims.

Notwithstanding the plain language of the agreement, Plaintiffs argue that, because the Order Agreement relates only to the order and not to the purchase of the Subject Vehicle, the arbitration provision cannot be construed to apply to any dispute beyond that related to ordering. The first four substantive provisions of the Order Agreement, however, provide that Plaintiffs agree to purchase the Subject Vehicle, establish the base purchase price, and include terms for delivery and transfer of title. (Kim Decl., Exh. 1, at p. 2.) The agreement thus contemplates a relationship beyond that of merely ordering the Subject Vehicle and includes activity incidental to purchase.

The Court finds that the instant action falls within the scope of the arbitration provision contained within the Order Agreement.

(3)
Enforceability of the RISC

Defendant contends that the RISC also provides a basis for compelling arbitration. (Kim Decl., Exh. 2.) Because the Court has found the arbitration provision of the Order Agreement to be enforceable, and that provision indicates that it supersedes all other arbitration agreements between the parties, the Court does not consider the enforceability of the RISC.

Based on the foregoing, the Motion is GRANTED.

CONCLUSION

The Court GRANTS Defendant's Motion to Compel Binding Arbitration. Plaintiffs are ordered to submit to arbitration pursuant to the terms of the Motor Vehicle Order Agreement. The action is hereby stayed pending the resolution of arbitration.

Moving party to give notice